have been substantially reduced. Due to advancement of technology the national economies are increasingly becoming borderless and getting progressively integrated into the world economy. The contemporary world is called as 'global village'. Business in today's context is not restricted to the mere boundaries of the country but also expands to boundaries of the several other countries. Due to tremendous development in the information and communication technology (ICT) and rapid advancement in transportational system more and more firms engage in international business which presents them with numerous opportunities for their faster economic growth and increased gains.

India has been trading with other countries fairly for a long period of time. It has played a vital role in international business from the ancient period. But it has of late considerably speeded up the process of integrating with the world economy and phenomenally increased its foreign trade and investments.

25.02 Concept, Meaning and Definition of International Business

Concept of International Business

Today business is growing globally and the need for profit is pushing a large number of business firms into world markets beyond their historical and traditional boundaries. A global corporation is gaining an increasing acceptance in the business community compared to corporations operating within the geographical limits of a country. These companies are termed as Multi National Corporations (MNC) or Trans National Company(TNC). These companies operate on the principle that the world is their field of operations. For example. Shell, Unilever, Nestle, etc., operate on the philosophy of "global corporation". They cannot be labeled as French or German or Dutch or Swiss company. These companies have no real domestic market. People of many different nationalities are managing and operating these corporations on a day to day basis. Their products and services are sold around the world through their operating subsidiaries functioning in various countries.

International business involves transactions across the national boundaries. It includes the transfer of goods, services, technology, managerial knowledge and capital to other countries. Although business has been conducted on an international scale for many years, international business has gained more significance only in recent years because of the emergence of multinational corporations in some of the developing countries.

Meaning

International business denotes all those business activities which take place beyond the geographical limits of the country. It involves not only the international movements of goods and services, but also of capital personnel, technology and intellectual property like patents, trademarks, know-how and copy rights.

Definition

Roger Bennet defines, International business involves commercial activities that cross national frontiers

According to John D. Daniels and Lee H. Radebaugh, International business

Commerce 16-25.indd 246 10/12/2022 16:33:24